Zoho: Where to Sell Software Built in Chennai

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BONUS CASE · GOES WITH MODULE 12 · GOAL M12-LG1

Bonus case for Module 12, Fundraising & Demo Day, of Ambitious Entrepreneurship. Prepared by Bastian Burger from public sources. The case does not judge whether any decision was right or wrong. Licensed under CC BY-NC-SA 4.0 except third-party material as marked.

In 1996, Sridhar Vembu had to decide where to look for customers for a software business whose code would be written in India.[1] [2]

The founders

Vembu recalled in 2007 that he had studied at the Indian Institute of Technology in Madras, had come to Princeton in 1989 for a PhD and had joined Qualcomm in San Diego in 1994. “My PhD is in electrical engineering, so I really do not have a software background,” he said.[1] His brother “was also there at Qualcomm as a software engineer” and “wanted to return home to India”. Vembu said that “Software is a great business to start in India”.[1] In 2011 he recalled that in 1995 he and his brother Kumar “constantly spoke about what we could do with our talent, about how we could make a difference in the lives of people back home in Chennai”. He added, “We wanted to make money, but more importantly we were passionate about making a difference.”[2]

Their partner was Tony Thomas, who, in Vembu’s words, “had some network management software and was experienced in the area”.[1] According to the company, the founders started writing code in Java, “an emerging platform at the time”, in 1996. It said its first focus was network management software for businesses in the telecom industry.[3]

Two places to sell

The sources do not say which options the founders weighed. Exhibit 1 compares India, where the software was to be written, with the United States, where Vembu had studied and worked. In 1996 India had 979.7 million people, a GDP per head of USD 401 and 0.046 internet users per 100 people, which is about 450,000 users. The United States had 269.4 million people, a GDP per head of USD 29,968 and 16.4 internet users per 100 people, which is about 44 million users (Exhibit 1).[4] India had 3.6 times the people of the United States, and the United States had about 75 times India’s GDP per head.

Vembu’s brother wanted to return to India, and Vembu saw software as a good business to start there. Vembu had to decide whether the first customers would be found in India or in the United States.

Exhibit 1: India and the United States, 1996

Measure, 1996	India	United States
Population, millions	979.7	269.4
GDP per head, current USD	401	29,968
Internet users per 100 people	0.046	16.4
Internet users, millions (case writer's calculation)	0.45	44.2

Source: World Bank, World Development Indicators, series SP.POP.TOTL, NY.GDP.PCAP.CD and IT.NET.USER.ZS, values for 1996 as published in October 2026, see note 4. Internet users and the two ratios in the text are the case writer's calculations, from the figures shown. The figures were compiled after 1996 and have since been revised.

Endnotes

1. Sramana Mitra, “Happily Bootstrapping: Zoho CEO Sridhar Vembu (Part 1)”, Sramana Mitra on Strategy (blog), 10 July 2007, Internet Archive capture of 5 May 2021, https://web.archive.org/web/20210505155437/https://sramanamitra.com/2007/07/10/happily-bootstrapping-zoho-ceo-sridhar-vembu-part-1/, accessed 2026-10-26. Vembu’s account is a recollection, told 11 years after the events.
2. ET Bureau, “How Sridhar Vembu’s Zoho Corporation changed avatars since its inception in 1996 as AdventNet”, The Economic Times, updated 18 November 2011, Internet Archive capture of 21 August 2019, https://web.archive.org/web/20190821143426/https://economictimes.indiatimes.com/india-emerging/how-sridhar-vembus-zoho-corporation-changed-avatars-since-its-inception-in-1996-as-adventnet/articleshow/10686644.cms, accessed 2026-10-26. Vembu spoke at the Nasscom Product Conclave, Bangalore, on 9 and 10 November 2011.
3. Zoho Corporation (ManageEngine), “AdventNet to ManageEngine: Evolution of IT management software”, e-book, undated, https://www.manageengine.com/academy/adventnet-story.html, accessed 2026-10-26. Written by the company.
4. World Bank, World Development Indicators, SP.POP.TOTL, NY.GDP.PCAP.CD and IT.NET.USER.ZS for India and the United States, API data last updated 2026-10-08, https://api.worldbank.org/v2/country/IND;USA/indicator/SP.POP.TOTL?format=json&date=1996, accessed 2026-10-26. The same URL pattern serves the other two series.